



Addressing environmental harm: reforming agricultural support

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Overview

Hundreds of billions of dollars are spent globally every year on agricultural support that harms the environment. For the food system to deliver food security and better environmental outcomes, agricultural resources must be put to their best use. The challenge for policy is to enable agricultural production systems that deliver food security while minimising environmental harm. To minimise the impacts of agriculture on the environment it is important to focus on efficient and environmentally sustainable agricultural production; and ensure global support to the agriculture sector does not encourage unnecessary production or incentivise overuse of damaging inputs.

This report discusses the economic mechanisms by which the hundreds of billions of dollars provided annually in agricultural support contribute to increased emissions, biodiversity loss and soil nutrient imbalances. It also highlights options for alternative support policies and presents real-world examples of improved environmental outcomes stemming from agricultural support removal/reform.

Key findings

- Current global agricultural support provided by governments leads to inefficiencies in production and consumption, which can lead to environmental harm.
- The most environmentally harmful support policies cost taxpayers and consumers US\$631 billion annually, however over 80% of this is concentrated in just 5 countries.

- Enabling production where it is most efficient will support food security and reduce global emissions from agriculture.
- To minimise the impacts of agriculture on the environment it is important to focus on efficient and environmentally sustainable agricultural production; environmentally harmful support can be redirected to less environmentally harmful options.

Source: <https://www.agriculture.gov.au/abares/products/insights/addressing-environmental-harm>